Council Financial Performance Report (2024-2025).

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1 Executive Summary

Key Terms Explained

Operating Margin % : Simply put, this is our **profitability**. For every $1.00 of income, this percentage is the profit (surplus) we keep after paying all our costs. A higher number is better.

Net Result (Before Grants) : This shows our profit from *only* our own services (like rates and fees). It tells us if we can **stand on our own two feet** without relying on one-off government grants to be profitable.

Grants Dependency %: : How much we **rely on outside funding** (like government grants) to operate. A high percentage means we depend heavily on money we don't earn ourselves.

Own-Source Revenue % : The **opposite of Grants Dependency**. This shows how much money we earn ourselves from things like council rates and user fees.

Employee Cost % of Expenses : How much of our total spending goes to **paying our staff** (salaries, super, etc.).

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Summary of Key Findings

This year's financial results show big differences in how the six councils performed, how profitable they are, and where their money comes from.

- **The Hills Shire (Star Performer):** This council is the clear leader in efficiency. They kept 47.0% of their income as profit and, importantly, made a solid profit ($29,210) even *before* using any grants.
- **City of Sydney (Biggest Council):** Sydney had the largest total income (**$909,748**). They are very self-reliant, with **86.0% of their money coming from their own sources**. Their profitability is solid at 14.7%.
- **City of Parramatta (Under Pressure):** This council is showing signs of financial strain. They **missed their budget target by -$25.9k** and their profit **dropped by -$32.9k** from last year. Most concerning, their core operations are **losing money (-$13.5k)**; they are relying on one-off grants to stay in the black.
- **Hornsby Shire (Most Improved):** Hornsby had a great year, **increasing its profit by +$90.5k**. They are in a strong and stable position.
- **Mixed Funding:** Councils rely on grants very differently. The Hills gets 44.6% of its income from grants, while Woollahra gets only 9.5%.

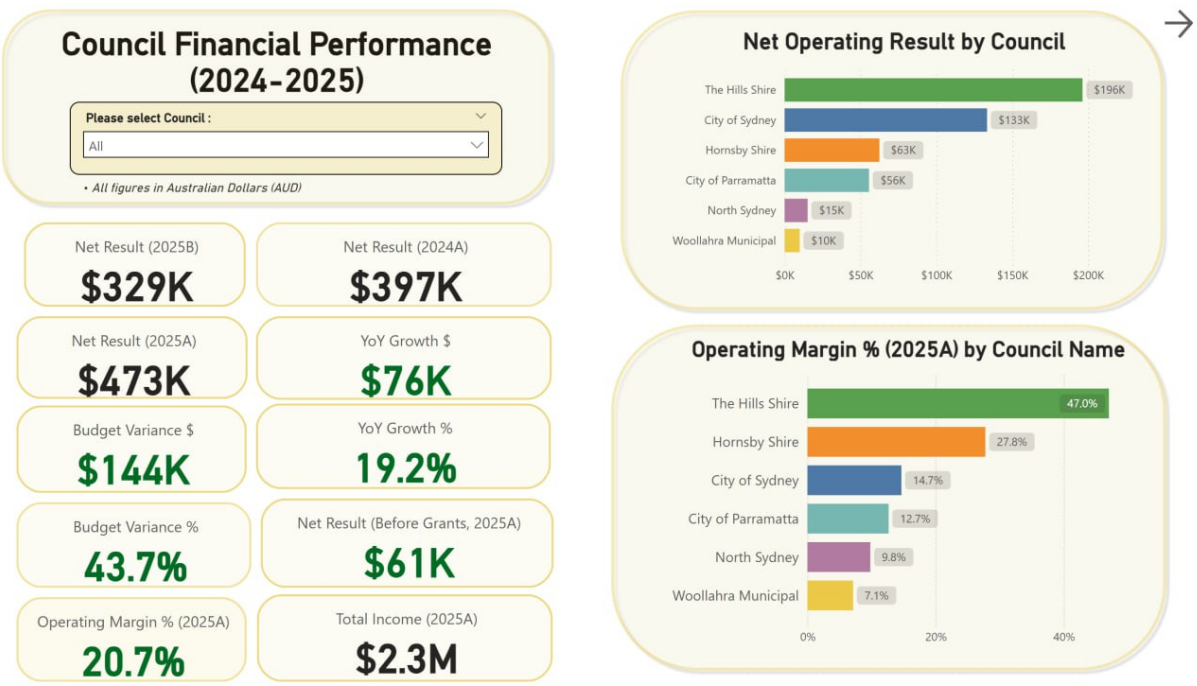

Figure 1: Page 1: A snapshot of the main results, ranking councils by their total profit (Net Operating Result) and profitability (Operating Margin) for 2025.

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2 A Closer Look: What We Found

2.1 The Hills Shire: The Clear Efficiency Leader

The Hills Shire is the standout performer, with the highest **profitability at 47.0%**. This means they keep 47 cents of every dollar they make. This is built on two things:

- **Strong Surplus:** They consistently make much more money than they spend.
- **Good Financial Management:** Even though they get a lot of grant money (44.6% of their income), their own services are still profitable ($29,210). They found savings in 'Other Expenses' (about +$22.1k) which helped cover rising costs for materials (about -$9.6k) and staff (about -$8.5k).

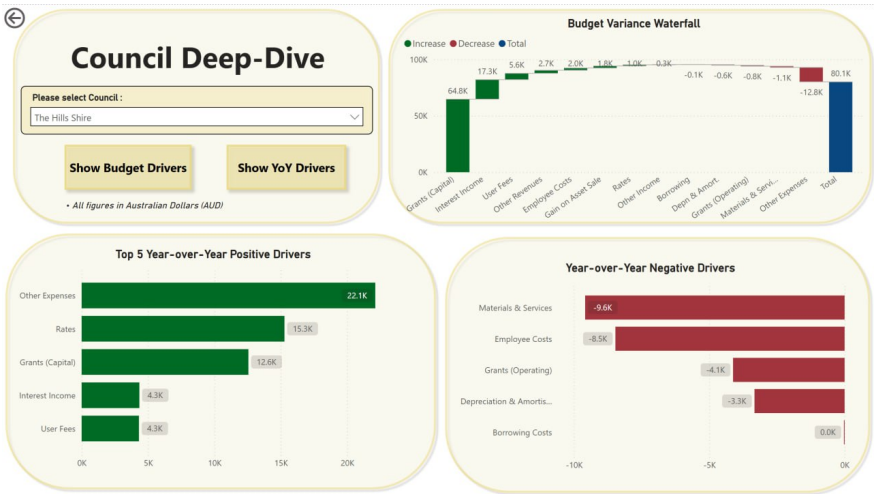

Figure 2: The Hills Shire: The main reasons profits changed from last year (2025 vs 2024).

2.2 City of Parramatta: Performance is Softening, Costs are Rising

Parramatta's results show a weakening position. They **missed their budget goal by -$25.9k** and their profit **dropped -$32.9k** compared to last year.

- **Key Numbers (2025):** Profitability was 12.7%. Staff costs were 43.0% of all spending.
- **The Red Flag:** Their core services ran at a **loss of -$13.5k**. The only reason they posted a profit overall was by using capital grants. This isn't sustainable.
- **Why?** The main hit was a huge drop in 'Other Income' (-$64.7k). This was too big to be covered by gains from selling assets (+$18.4k) and new grants (+$17.7k).

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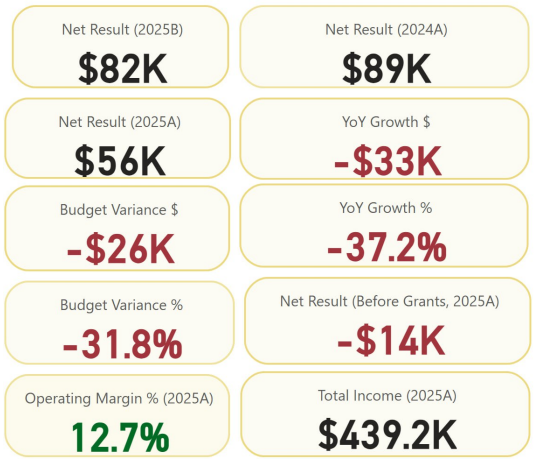
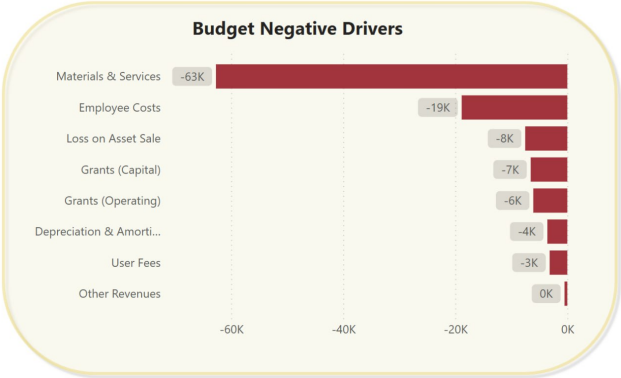


(a) Key numbers for Parramatta (2025).



(b) Why Parramatta missed its budget (2025 Actual vs Budget).

Figure 3: A closer look at Parramatta's performance and budget issues.

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2.3 Hornsby Shire: Strong Improvement Across the Board

Hornsby Shire showed the **strongest improvement this year**, increasing its profit by **+$90.5k**. This was driven by earning more from rates (about +$9.4k) and spending less on materials (about +$10.0k), which offset a small rise in staff costs (about -$4.4k).

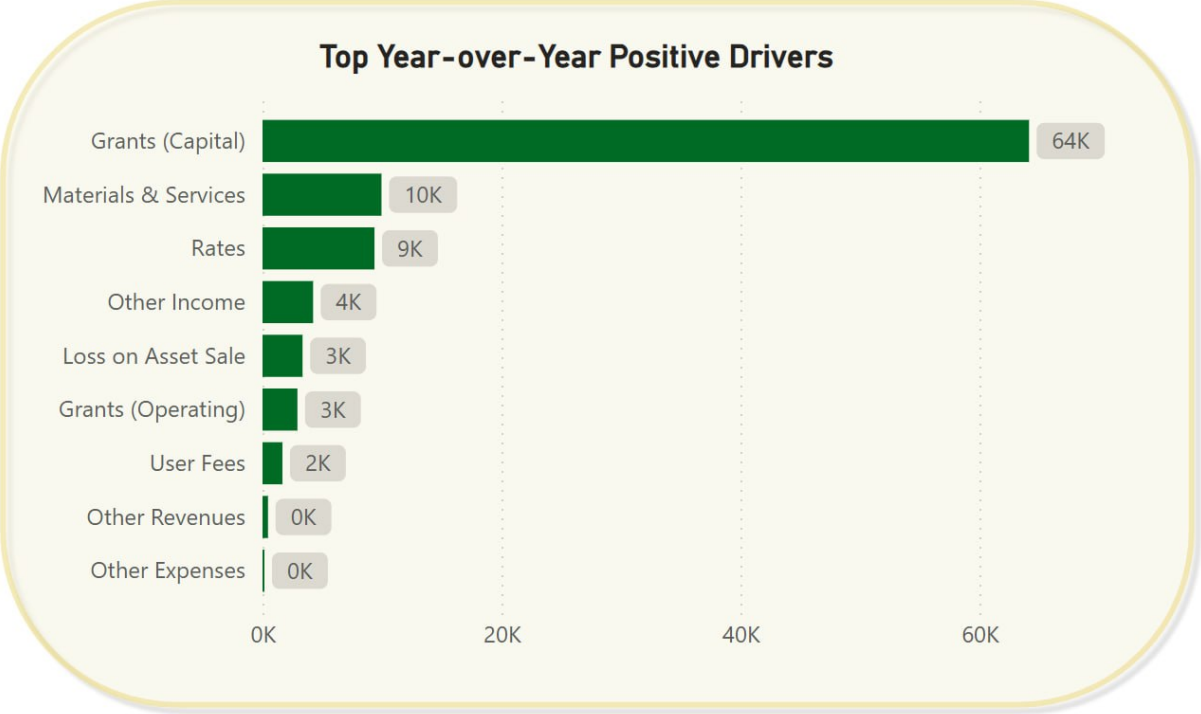

Figure 4: Hornsby Shire: The main reasons for its strong profit growth this year.

2.4 Two Different Ways of Operating

When we compare the councils, we see two clear patterns:

- **"People-Heavy" Model:** *City of Sydney* (39.5%) and *City of Parramatta* (43.0%) spend a large portion of their budget on staff costs. This suggests they rely on a large internal workforce.
- **"Balanced" Model:** *The Hills*, *Hornsby*, *North Sydney*, and *Woollahra* have a more even mix between spending on staff and spending on outside materials and services.

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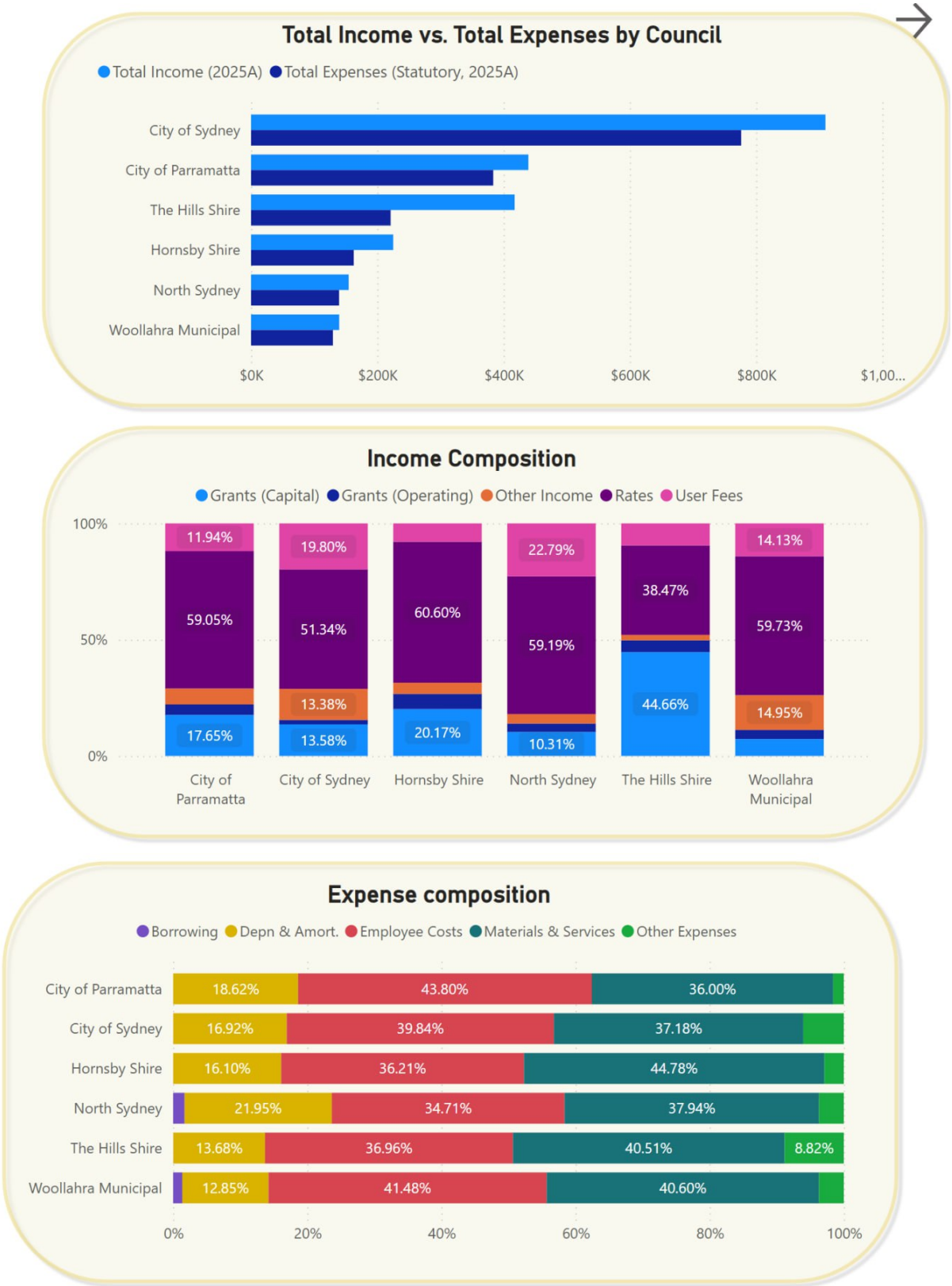

Figure 5: Comparing the councils: Where their money comes from and where it goes (2025).

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2.5 City of Sydney: Big Scale, Average Efficiency

City of Sydney brings in the most money (**$909,748**), but its profitability is average (14.7%). Their profit dropped slightly from last year (**-$14.5k**) but they still **beat their budget goal (+$18.1k)**. For them, the opportunity is to become more efficient, not just to earn more.

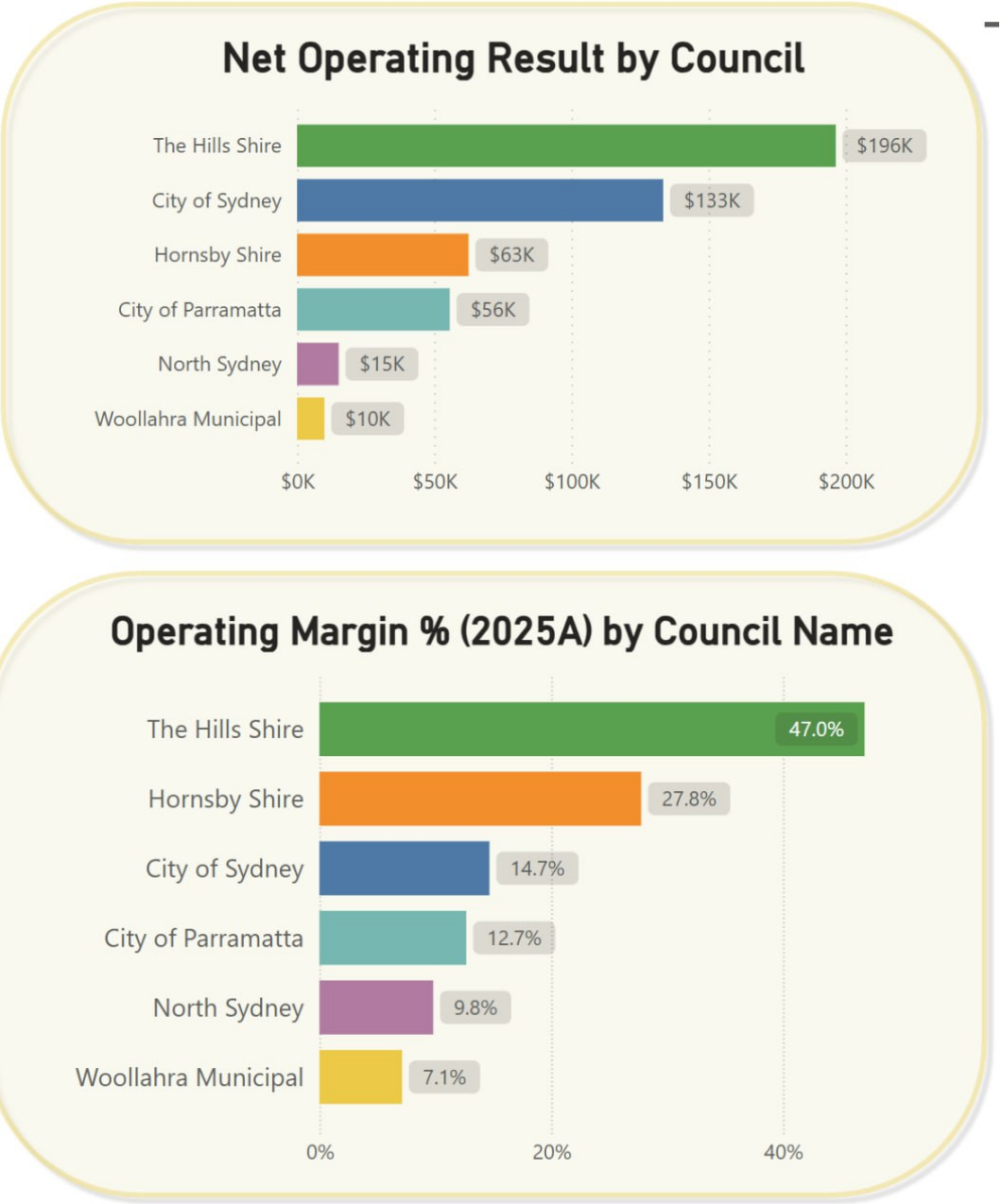

Figure 6: Comparing council profit (Top) and profitability (Bottom) for 2025.

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3 Conclusion

This year showed that the six councils are in very different financial positions.

The Hills Shire is the clear benchmark for profitability (**47.0% margin**) and proves that its own services are profitable (**+$29,210 before grants**). **City of Sydney** is our largest council and is very self-sufficient, relying on grants for only 14.0% of its money.

City of Parramatta is showing emerging risk. Its core operations are **running at a loss (-$13.5k)**, and it **missed its budget by -$25.9k**. This was mainly driven by a large drop in 'Other Income' (-$64.7k) and rising depreciation costs (-$8.5k).

Finally, **Hornsby Shire** was the most improved, **boosting its profit by +$90.5k** this year.

This report helps each council see where to focus: Sydney can improve its efficiency, Parramatta needs to get its costs under control and find more stable income, and The Hills must ensure it can maintain its performance if grant funding changes.

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